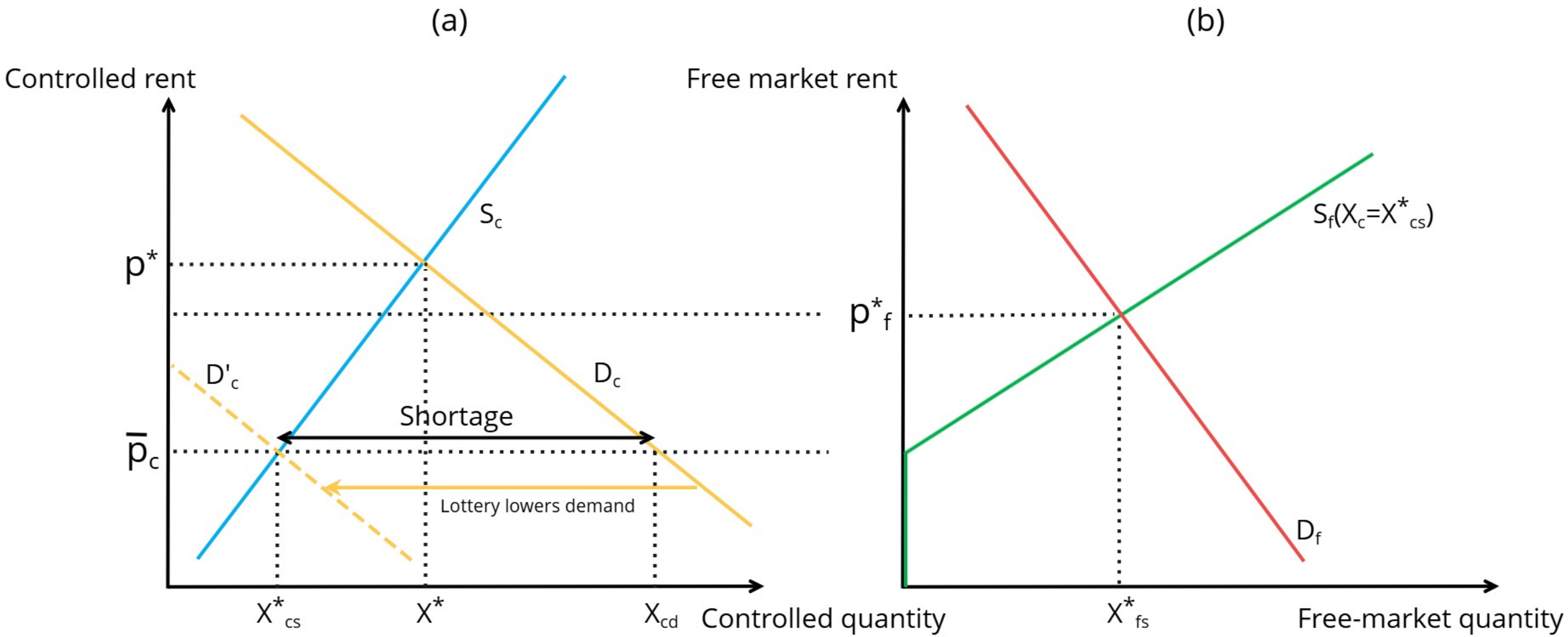

(a)
(b)
Controlled rent
Free market rent
S_c
p^*
D'_c
D_c
Shortage
$\bar{p}_c$
Lottery lowers demand
X^*_{cs}
X^*
X_{cd}
Controlled quantity
$S_f(X_c=X^*_{cs})$
p^*_f
D_f
X^*_{fs}
Free-market quantity